

Contoso Corp Compensation and Pay Practices Policy

Pay Grades and Structure

Contoso Corp compensates employees through a structured job leveling framework designed to ensure that pay is internally consistent, externally competitive, and administered without regard to factors unrelated to role scope and performance. Every position at Contoso Corp is mapped to a job level within one of two career tracks: the individual contributor track, denoted IC1 through IC6, and the people manager track, denoted M1 through M4. Job levels are assigned by the Compensation team in partnership with each function's leadership based on documented scope of responsibility, technical or functional depth, and decision-making authority, not on tenure or title alone.

Each job level is associated with a pay band that defines a minimum, midpoint, and maximum base salary for that level. Pay bands are published internally on the HR portal so that employees can see the band associated with their current level, though individual placement within the band remains confidential between the employee, their manager, and Human Resources. The Compensation team reviews all pay bands at least once per fiscal year, and more frequently for job families experiencing rapid market movement, such as software engineering and data science roles.

Pay band reviews rely on survey data purchased from at least two independent third-party compensation benchmarking providers, cross-referenced against Contoso Corp's own attrition and offer-decline data. Where a job family shows sustained market drift of five percent or more relative to the prior year's band, the Compensation team prepares a band adjustment recommendation for review by the Total Rewards Steering Committee. Approved band adjustments take effect at the start of the following fiscal quarter and are applied uniformly to all employees in the affected job family and level, regardless of geography beyond the geographic differential described below.

Contoso Corp maintains geographic pay differentials across its three primary office locations: Northlake, Washington; Austin, Texas; and Dublin, Ireland. These differentials reflect documented differences in local labor market costs and cost of living, and are expressed as a percentage adjustment applied to the national base band for a given job level. As of the most recent annual review, Austin-based roles are benchmarked at approximately ninety-four percent of the Northlake band midpoint, while Dublin-based roles are benchmarked separately in euros against the Irish technology labor market rather than converted directly from the U.S. dollar band.

Employees who relocate between Contoso Corp office locations, whether Northlake, Austin, or Dublin, are subject to a compensation review at the time of relocation to ensure their base salary is appropriately positioned within the destination location's pay band. This review is initiated by the employee's manager submitting a relocation compensation request to the Compensation team no later than thirty days before the anticipated relocation date. A relocation does not automatically trigger an increase; if an employee's current pay already exceeds the destination band's midpoint, no

adjustment is made, and if it falls below the destination band's minimum, the employee's salary is adjusted upward to at least the band minimum effective on the relocation date.

Job levels and their associated scope expectations are documented in level guides maintained by the Compensation team for each major job family, including engineering, product, design, sales, marketing, and corporate functions such as finance, legal, and people operations. These level guides are distinct from, but designed to align with, the competency expectations described in the Contoso Corp Performance Management and Review Policy, so that an employee's demonstrated performance against level expectations informs both their performance rating and any conversation about readiness for the next level.

Total target compensation at Contoso Corp is composed of base salary, and, for eligible roles, an annual bonus target or sales incentive target and equity award, each of which is governed by a separate plan document. This Compensation and Pay Practices Policy addresses base salary structure and the mechanics of pay delivery; bonus plan design, sales incentive compensation plans, and equity grant guidelines are documented separately and are referenced in an employee's offer letter and any subsequent total rewards statement issued through the HR portal.

New hire base salary offers are made within the applicable pay band for the assigned job level and location, using a placement methodology that weighs the candidate's relevant experience, the internal equity of the team they are joining, and, where legally permitted, the candidate's compensation expectations. Hiring managers do not have discretion to offer base salary above the pay band maximum without a documented exception approved by both the Compensation team and the hiring manager's second-line leader.

Internal transfers to a role in a different job family are treated as a lateral move for compensation purposes if the destination role is at the same job level, and typically do not result in a base salary change unless the transfer also involves a geographic relocation as described above or the destination role sits in a job family with a materially different pay band. Employees considering an internal transfer can request a compensation preview from their prospective manager and HR Business Partner before accepting the new role so there are no surprises about how the move affects pay.

Promotions to a higher job level are accompanied by a promotion increase intended to move the employee's base salary to a level appropriate for the new job level's pay band, as described further in the Annual Merit Increase Process section of this policy. Promotion increases are calculated independently of, and are not reduced by, any merit increase awarded in the same review cycle, though both are typically communicated to the employee at the same time to give a complete picture of the change in total compensation.

Contoso Corp does not disclose an individual employee's specific placement within a pay band, bonus target, or equity grant to anyone other than the employee, their manager, their HR Business Partner, and Compensation and Payroll staff with a legitimate business need to know. Employees remain free, consistent with applicable law and the non-retaliation provisions of the Contoso Corp Employee Handbook, to discuss their own pay with coworkers if they choose, and no manager or HR representative may discourage or penalize an employee for doing so.

The Compensation team also conducts a pay equity analysis at least once per fiscal year, examining base salary outcomes across gender and, where legally permissible to analyze, race and ethnicity, at each job level and location, in partnership with outside counsel so that the analysis can be conducted under attorney-client privilege. Where the analysis identifies an unexplained pay gap for a specific employee or group of employees that is not accounted for by legitimate factors such as level, tenure in level, location, or performance, the Compensation team initiates a corrective market equity adjustment as described in the Annual Merit Increase Process section, independent of that employee's next scheduled review date.

Pay Frequency and Pay Days

Contoso Corp pays all employees on a biweekly schedule, meaning employees are paid every two weeks for a total of twenty-six pay periods per calendar year rather than twenty-four semi-monthly periods. Each pay period runs Sunday through Saturday, covering a fourteen-day span, and wages earned during that period are paid on the Friday that falls nine calendar days after the period closes, allowing time for timesheet approval, payroll processing, and, for non-exempt employees, overtime calculation.

The Payroll team publishes an annual pay calendar on the HR portal each December for the following calendar year, listing the exact pay date for all twenty-six pay periods along with the corresponding timesheet submission deadlines. Employees should consult this calendar rather than assuming a fixed day of the month, since biweekly pay days shift gradually across the month over the course of a year and occasionally land on a date that differs from the prior pay period by more or less than fourteen calendar days around a holiday.

When a scheduled pay day falls on a Contoso Corp company holiday or a weekend, as defined in the Contoso Corp Paid Time Off and Leave Policy, payment is issued on the preceding business day rather than the following one, so that no employee experiences a delay in receiving wages already earned. The Payroll team communicates any such shift in advance through the HR portal's pay calendar and, for the affected pay period only, through a direct email notification to all employees.

All employees are required to receive pay via direct deposit to a checking or savings account at a bank or credit union of their choosing, consistent with applicable state and federal wage payment law. Employees enroll in direct deposit through the HR portal at the time of hire and may update their banking information at any time, though changes submitted after the payroll processing cutoff for a given pay period, generally the Monday before the Friday pay date, will not take effect until the following pay period.

In the rare case where an employee is unable to receive direct deposit due to a banking access issue, Human Resources and Payroll will work with the employee to arrange an alternative payment method permitted under the law of the employee's work location, such as a pay card, but this arrangement requires documentation of the banking barrier and is reviewed by Payroll on a case-by-case basis rather than offered as a standing option.

Each pay period, employees can view and download their pay statement through the HR portal's Payroll module, which itemizes gross wages, all pre-tax and post-tax deductions, employer contributions such as retirement matching described in the Contoso Corp Retirement Savings Plan Guide, and net pay. Pay statements remain accessible in the HR portal for at least seven years following the pay date, satisfying Contoso Corp's recordkeeping obligations under applicable wage and hour law in each jurisdiction where it operates.

Employees based in Dublin are paid in euros, and employees based in Northlake and Austin are paid in United States dollars, with all pay calculations, tax withholding, and statutory deductions performed in accordance with the requirements of the employee's home work location rather than a single global standard. Payroll taxes and social insurance contributions specific to Ireland, including PRSI, are administered by Contoso Corp's Dublin payroll provider and are separate from the United States federal and state withholding administered for Northlake and Austin employees.

Employees who believe their pay statement contains an error, such as an incorrect number of hours, a missing overtime payment, an incorrect deduction, or an unexplained change in net pay, should report the discrepancy to Payroll through the HR portal's pay inquiry form within five business days of the pay date on which the discrepancy appeared. Payroll investigates every reported discrepancy and provides the employee a written response, including either a correction timeline or an explanation of the amount paid, within ten business days of the inquiry being submitted.

Where an investigation confirms an underpayment, Contoso Corp issues a correction via an off-cycle payment rather than waiting for the next scheduled pay date, typically within three business days of the correction being confirmed, and the correction is paid using the employee's standard direct deposit method unless the employee requests an alternative arrangement. Where an investigation confirms an overpayment, Payroll will contact the employee to discuss a repayment plan before making any deduction from future pay, consistent with wage deduction limits under applicable law and never as a unilateral lump-sum deduction from a single paycheck without the employee's agreement.

Employees separating from Contoso Corp, whether through resignation, termination, or retirement, receive their final pay, including any earned and unused paid time off payable under the Contoso Corp Paid Time Off and Leave Policy, on a schedule that complies with the final pay timing requirements of their work location's law. In Washington and Texas this generally means the next regularly scheduled pay date or sooner where required, and in Ireland final pay is issued in the employee's final regular payroll run unless statutory notice pay timing requires an earlier date.

Requests for an off-cycle or advance payment outside the standard biweekly schedule, other than the error corrections described above, are not part of Contoso Corp's standard pay practices and are granted only in narrow circumstances, such as a documented payroll system outage affecting a full pay period, and require approval from the Payroll Director. Employees experiencing financial hardship should speak with their HR Business Partner, who can describe any applicable employee assistance resources rather than treating an off-cycle advance as a routine option.

Employees on an approved leave of absence under the Contoso Corp Paid Time Off and Leave Policy continue to be paid on the standard biweekly schedule for any period covered by paid leave,

such as accrued vacation, sick time, or company-paid parental leave, with the applicable leave type itemized on the pay statement. Periods of unpaid leave do not generate a pay statement for that portion of the pay period, and an employee returning from a partial pay period of unpaid leave will see a prorated payment on the next regularly scheduled pay date rather than a separate off-cycle payment.

Overtime Eligibility

Every position at Contoso Corp is classified as either exempt or non-exempt from overtime requirements under the federal Fair Labor Standards Act and, where applicable, corresponding state law, and this classification is documented in the employee's offer letter and in the HR portal's job profile record. Exempt classification is based on a role's actual duties, salary level, and salary basis meeting the applicable executive, administrative, professional, or other statutory exemption test, and is determined by the Compensation team in consultation with Legal, not by job title alone, consistent with the classification standards described in the Contoso Corp Employee Handbook.

Non-exempt employees at Contoso Corp are eligible for overtime pay for all hours physically worked beyond forty in a single workweek, calculated at one and one-half times the employee's regular rate of pay for each overtime hour. The workweek for overtime purposes is a fixed and recurring seven-day period beginning Sunday at 12:00 a.m. and ending the following Saturday at 11:59 p.m., and this workweek does not change from period to period regardless of an employee's individual schedule.

An employee's regular rate of pay for overtime calculation purposes includes their base hourly wage plus most forms of non-discretionary compensation earned in the same workweek, such as certain shift differentials or non-discretionary production bonuses, but excludes discretionary bonuses, expense reimbursements, and premium pay already paid at a rate above the employee's base rate. Payroll recalculates the regular rate each workweek for non-exempt employees who receive variable non-discretionary pay so that overtime is never underpaid.

Only hours actually worked count toward the forty-hour overtime threshold; paid time off, holiday pay, jury duty pay, and other forms of paid leave under the Contoso Corp Paid Time Off and Leave Policy do not count as hours worked for overtime purposes, even though they appear as paid hours on the employee's pay statement for that week. For example, an employee who works thirty-six hours and takes eight hours of holiday pay in the same week has worked thirty-six hours for overtime purposes and is not owed overtime for that week.

Non-exempt employees must record all hours worked accurately and in real time using the HR portal's timekeeping module, including the start and end time of each shift and any unpaid meal break taken. Falsifying time records, whether by overstating or understating hours worked, is a violation of Contoso Corp policy and is addressed through the disciplinary process described in the Contoso Corp Employee Handbook, regardless of whether the falsification benefits or disadvantages the employee.

Non-exempt employees working a shift of five or more consecutive hours are entitled to an unpaid, duty-free meal period of at least thirty minutes, which must begin no later than the end of the employee's fifth hour of work, consistent with meal break requirements applicable to Contoso Corp's Washington and Texas work locations and any more protective requirement of local law. During a duty-free meal period, a non-exempt employee is relieved of all work responsibilities and must clock out using the timekeeping module; a meal period during which an employee is required to remain at their workstation or respond to work matters is treated as paid working time.

Non-exempt employees are also entitled to a paid ten-minute rest break for approximately every four hours worked, which counts as hours worked and is not deducted from pay. Managers are responsible for scheduling coverage so that non-exempt employees on their team are able to take both required meal periods and rest breaks without pressure to skip them, and an employee who is unable to take a required break due to workload should notify their manager and Human Resources promptly rather than simply working through it.

All overtime work by non-exempt employees must be authorized in advance by the employee's manager, except in a genuine emergency where advance authorization is not practical. However, Contoso Corp will always pay non-exempt employees for all overtime hours actually worked, whether or not the overtime was pre-authorized; an employee who works unauthorized overtime may be subject to a coaching conversation or, for a repeated pattern, corrective action, but will never be denied pay for hours actually worked.

Exempt employees, including those at job levels IC1 through IC6 and M1 through M4 whose roles meet an applicable exemption, are paid a fixed salary intended to compensate them for all hours required to fulfill their job responsibilities in a given workweek and are not eligible for overtime pay regardless of the number of hours worked. Occasional additional hours during a busy period, product launch, or deadline do not entitle an exempt employee to additional pay, consistent with the salary basis of their compensation.

An employee who believes their exempt or non-exempt classification is incorrect, for example because their actual day-to-day duties no longer match the duties on which the classification was based, may raise the question with their manager, HR Business Partner, or directly with the Compensation team through the HR portal. The Compensation team reviews every classification question raised in good faith and, where a reclassification is warranted, will correct the employee's status prospectively and, where legally required, will calculate and pay any owed retroactive overtime for the affected look-back period.

Independent contractors and other workers engaged by Contoso Corp outside of the employment relationship are not covered by this Overtime Eligibility section, as their compensation terms are governed entirely by their individual services agreement rather than by Contoso Corp's employee pay practices. Any Contoso Corp manager who has questions about whether a particular worker relationship is properly classified as an employee or an independent contractor should contact the Legal department before the engagement begins.

Non-exempt employees who travel for work, for example between the Northlake headquarters and the Austin office, are generally paid for travel time that falls within their normal working hours

regardless of the day of the week, and for travel time outside normal working hours when the employee is required to drive or serve as a passenger performing work duties rather than traveling for their own convenience. Ordinary commuting time between an employee's home and their regular work location is not compensable travel time, consistent with the distinction drawn in the Contoso Corp Employee Handbook between commuting and work-related travel.

Annual Merit Increase Process

Contoso Corp conducts a single annual merit increase cycle each year, aligned with the performance review cycle described in the Contoso Corp Performance Management and Review Policy, so that base salary decisions are informed by a completed annual performance rating rather than an informal or partial assessment. The annual cycle runs from early February, when final performance ratings are calibrated and approved, through early April, when merit increases become effective and are reflected in the pay period following approval.

Eligibility for the annual merit increase requires that an employee be actively employed on the effective date of the increase and have received a completed annual performance rating for the prior calendar year. Employees hired after October 1 of the performance year, employees on a formal performance improvement plan at the time ratings are calibrated, and employees who have already received an off-cycle promotion increase within the prior three months are handled through the exception process described later in this section rather than the standard merit matrix.

Each year, the Total Rewards Steering Committee, with input from finance leadership, approves an overall merit increase budget expressed as a percentage of total eligible base salary company-wide. This budget reflects Contoso Corp's assessment of market pay movement, company financial performance, and retention priorities for the year, and is communicated to people managers as an average target rather than a fixed increase percentage owed to every employee.

The approved merit budget is distributed to individual employees using a merit increase matrix that ties the size of an employee's increase to two factors: their final performance rating from the Contoso Corp Performance Management and Review Policy cycle, and their current position within their pay band, referred to as their compa-ratio. An employee rated Exceeds Expectations who sits below their pay band midpoint receives a larger percentage increase than an employee with the same rating who sits at or above the midpoint, reflecting Contoso Corp's intent to move underpaid high performers toward the middle of their band more quickly.

Employees who receive a rating of Meets Expectations, the most common rating outcome, generally receive an increase at or near the average merit budget percentage for the year, subject to their compa-ratio position. Employees who receive a rating of Does Not Meet Expectations are not eligible for a merit increase in that cycle, and employees who receive the highest rating tier, Significantly Exceeds Expectations, receive an increase meaningfully above the company average, funded in part by the differentiation built into the merit matrix.

Managers propose individual merit increases for their direct reports using the merit matrix as a guide, and these proposals are reviewed in a calibration process involving the manager's own manager, the

relevant HR Business Partner, and the Compensation team before being finalized. Calibration exists to confirm that merit increases are applied consistently across teams and are not distorted by a single manager's rating tendencies, and the Compensation team may ask a manager to revisit a proposed increase that appears inconsistent with the employee's rating or with peers at a similar level and compa-ratio.

Merit increases are communicated to employees by their manager in a dedicated compensation conversation, separate from the performance rating conversation, and are confirmed in writing through the HR portal, which shows the employee's new base salary, the effective date, and, where applicable, an updated position within their pay band. Contoso Corp does not disclose the merit matrix itself, the overall company merit budget, or details of another employee's increase to employees outside of the Compensation team and senior HR leadership.

Promotions that occur at the same time as the annual merit cycle are evaluated separately from merit increases. A promotion increase is sized to bring the employee's base salary to an appropriate position within the new, higher job level's pay band, generally at least to the new band's minimum, and is calculated in addition to, not instead of, any merit increase the employee has earned based on their performance rating in their prior role.

Outside of the annual cycle, Contoso Corp recognizes two categories of off-cycle base salary adjustment: a market equity adjustment and a retention adjustment. A market equity adjustment is initiated by a manager or the Compensation team when new market data or an internal pay equity analysis shows that an employee's current pay has fallen meaningfully behind their pay band or behind internal peers at the same level performing comparable work, and is not tied to the employee's individual performance rating.

A retention adjustment is initiated by a manager, typically in response to a competing outside offer or a documented flight risk for a critical-skill employee, and requires a written business justification along with approval from the manager's second-line leader and the Compensation team before it can be communicated to the employee. Both market equity adjustments and retention adjustments are funded from a separate off-cycle adjustment budget maintained by the Total Rewards Steering Committee, distinct from the annual merit budget, so that off-cycle activity does not erode the pool available for the broader annual cycle.

Off-cycle adjustment requests are submitted by the manager through the HR portal's compensation request workflow at any time during the year and are reviewed by the Compensation team on a rolling basis rather than batched into a single window, given the time-sensitive nature of retention and equity concerns. A manager should expect an initial response from the Compensation team within ten business days of submitting a complete off-cycle request, though final approval timing depends on the complexity of the case and the availability of off-cycle budget at the time of the request.

Employees who disagree with their merit increase, their performance rating's effect on pay, or a compensation decision more generally may raise the concern first with their manager and, if unresolved, with their HR Business Partner, consistent with the escalation path described in the Contoso Corp Employee Handbook. Compensation decisions are not grievable through the formal workplace complaint process reserved for policy violations, harassment, or discrimination, but

Contoso Corp is committed to explaining the reasoning behind every compensation decision to the employee it affects.

Employees who are on an approved leave of absence at the time the annual merit cycle is calibrated, including leave taken under the Contoso Corp Paid Time Off and Leave Policy for parental, medical, or other protected reasons, remain eligible for a merit increase on the same basis as any other employee and are not penalized in the merit matrix for time spent on protected leave. Where a performance rating could not be completed because an employee was on leave for a substantial portion of the review period, the employee's manager and HR Business Partner will agree on a reasonable rating approach, such as evaluating the portion of the year actually worked, so the employee is not automatically excluded from the cycle.